LLC IRS Guide - Rental Rules

References

1. Publication 527 (2024), Residential Rental Property
2. IRS GUIDE Topic 415
3. > Tax Advisor
4. > Tax Advisor: Partnership Articles
5. Form 8825, Rental Real Estate Income and Expenses of a Partnership or an S Corporation

Clarification to Articles of Operations

- LLC shall refer to the W&B Group, LLC

1. Mission of W&B Group, LLC

- The primary mission of the LLC is to be treated as an investment portfolio element of the estate of Francis X Rojas.
- The LLC is expected to return a profit on the management of all assets owned by the LLC. This may include real properties asset based loans (future value of a property owned by loanee), and/or any other small business management.

Background: The manager of the LLC considers the goal of the LLC as a means of move portions of the estate portfolio (savings) into real estate. As the manager of the LLC had no experience in rental management and was skeptical of starting the LLC the LLC was in doubt. As it happened, a daughter Nicola Rojas was moving from north Texas into the area (Wimberley) and needed a one year rental place.

The decision to start the LLC in 2025 had the following goals:
a) establish an LLC and learn how to put into place its business operations/practices,
b) gain experience by using Nicola Rojas as the 1st client with a 1 year full time rental agreement (ie. treat just any other renter),and c) ensure the inheritance of these investment go to his daughters.

Both Nicola Rojas and Alexandra Rojas, daughters of the LLC manager would be listed as 2% ownership to clearly clarify that they are non-active members of the LLC whose sole purpose is for estate inheritance planning.

2. Sole Manager and Non-Active Members

- There shall only be one sole active participant and manager - Francis X Rojas.
- There are two non-active participants Nicola Rojas and Alexandra Rojas shall each own only 2% of the LLC.
    - non-active members shall have no say in management decisions or business activities.
    - non-active members are solely for the purpose of clarifying the inheritance of the LLC ownership upon the death of the LLC manager.
- Per Q1, non-active member of the LLC is allowed to use/rent any property owned by the LLC:
    1. All non-active member activity MUST be treated like any other client activity

2. Must conform to rule of `Maintaining Business Seperation`
3. Any income from use/rental by a non-active member shall not dispursed to that non-active member.
4. Any rental time by a non-active member is considered a business transaction and not a personal activity.
5. All rentals by non-active members must be covered by a formal loan agreement.
6. Any activity initated by a non-active member CAN NOT be deducted as a business expenses.
        - example: a non-active member decides to and initiates to paint a room, the expenses can not be deducted (per the rules of the loan agreement, such improvements must be approved and performed per the manager)
        - example: The manager contracts or performs work to paint a room, such expenses can be considered a business expense.

Q1: Can LLC can rent property to a member?

- Yes, with key caveats about formality, arms length, and deductions.
- crucial to follow specific legal and financial procedures to maintain the LLC's liability protection
- otherwise it could put your personal assets at risk.
- **Create a formal lease agreement**: The rental agreement should be a formal, written contract between the LLC and the member, just as if a third party were renting the property.
- **Charge fair market rent**: To avoid liability issues, the rent charged to the member must be comparable to what a non-member would pay for the same property.
- **Document all payments**: Keep detailed records of all rent payments. This helps to demonstrate that the LLC is a separate entity and that the member is a legitimate tenant. Handle expenses properly: Do not use LLC assets for personal expenses. For example, if the LLC pays for a repair to the rental property, it should be treated as a business expense for the LLC.
- **Consult professionals**
    - **Legal advice**: A real estate or business attorney can help ensure your lease agreement and overall structure are sound and protect your interests.
    - **Tax advice**: A tax professional or CPA can help with the tax implications, such as how to correctly report the rental income for the LLC and the member, and how to potentially benefit from deductions.

Q2: Can LLC member rent be considered a business expenses

1. a member of a rental management LLC cannot rent a property for personal use and have that rent be considered a business expense (a non-personal deduction).
2. The rent for a personal residence is always a personal expense under IRS rules.
3. **The primary reason is that for an expense to be deductible by a business, it must be an "ordinary and necessary" expense**
    - incurred for the purpose of carrying on a trade or business.
    - Rent paid for a personal dwelling does not meet this criteria as it is for the member's personal use,
    - not exclusively for the business of the LLC.

Q3: What is Personal Use Allocation:

- If a property is used for both rental business and personal purposes,

- all expenses must be allocated based on the number of days of each use.
- Only the business portion of expenses is deductible by the LLC.
- The personal portion is not a deductible business expense.

Q4: Understand the "Rented For Profit" Requirement:

- For a rental activity to be treated as a business for tax purposes, it must be engaged in with the primary goal of making a profit.
- Renting a property to a member at a rate below fair market value or under terms that do not aim for profit can cause the IRS to classify the activity as a "not-for-profit" activity, which further limits deductions.

Q5: Pass-Through Taxation:

- For a multi-member LLC (taxed as a partnership) or a single-member LLC (disregarded entity for tax purposes)
    - the income and losses generally pass through to the members' personal tax returns
        - Schedule E or Schedule C, depending on activity level).
        - Shifting personal rent to a business expense is not permissible.

Q5: How to Maintain Business Separation:

- It is crucial to maintain a clear separation between personal and business finances and activities to protect the limited liability shield of the LLC.
- Treating personal rent as a business deduction blurs this line and could create legal and tax problems upon audit.
- In short, the member must cover their personal housing costs with personal funds, and these funds cannot be categorized as a business deduction for the LLC.

Q6: Active Participation / Level of Involvement

- level of involvement is key to the tax treatment of the income/losses that the real estate generates.
- classification of participation determine how taxpayers can deduct losses from activities (esp. rentals).
- You can prove participation using various reasonable means like appointment books or narrative summaries
- though daily logs are not required.
- work done as an investor, such as reviewing financial statements without a management role, does not count toward participation hours.
- To determine if you materially participate, the IRS provides seven tests; you only need to meet one.
    - These tests primarily focus on the amount and nature of your participation in the activity,
    - including hours spent,
    - whether your participation is substantially all of the activity
    - and prior year participation.
    - One test considers participation of more than 500 hours in the activity during the year.
    - Another applies if you participate for more than 100 hours and no one else participates more than you.

    - There are also tests based on aggregating significant participation activities (SPAs)
    - or on participation in prior years for general activities or personal service activities.
    - A facts and circumstances test also applies if you participate for more than 100 hours.

The primary differences

- **active participation** rules, less stringent standard
    - primarily applies to rental real estate activities.
    - Generally, all rental activities are considered passive by default,
    - rhis exception allows qualifying individuals to deduct up to $25,000 in rental losses against
    - non-passive income (like wages or salaries) each year.
    - **Ownership Interest**: You (and your spouse) must own at least a 10% interest (by value) in the rental activity.
    - **Management Decisions**: You must participate in making management decisions in a significant and bona fide sense.
        - This includes decisions such as:
            - Approving new tenants.
            - Deciding on rental terms.
            - Approving capital or repair expenditures.
        - Exclusions: **Limited partners generally cannot be considered active participants**.
        - AGI Phase-Out: The special $25,000 loss allowance is phased out for taxpayers with a Modified Adjusted Gross Income (AGI) between $100,000 and $150,000, and is eliminated entirely for those with an AGI over $150,000.
- **material participation** rules [stricter]
    - requires involvement in an activity on a regular, continuous, and substantial basis.
    - participation in a trade or business activity,
    - it is considered "active" (non-passive)
    - any losses can be used to offset any type of income, including W-2 wages, without the AGI limitations of active participation.